

There is an alternative to a direct investment in commodities mutual funds. Several low-cost industry-specific index funds concentrate their holdings on companies that are in a commodities business. These funds specialize in mining, energy, and other natural resources stocks. A partial list of commodities industry mutual funds is provided in [Table 10-4](#) at the end of this chapter.

INVESTING IN HEDGE FUNDS

Hedge funds are not an asset class. They are a type of investment account. Hedge funds are pooled investment vehicles that are privately organized and administered by professional investment managers.

The hedge fund industry is not highly regulated, and that allows managers to skirt many regulatory requirements that mutual funds must follow. This limited disclosure has a couple of advantages for hedge fund managers. First, they are not required to disclose fund holdings to the public. Second, the secrecy is great for marketing. Fund managers tend to whisper loudly about their super-duper top-secret proprietary investment methods. But that is just marketing hoopla. There are thousands of hedge funds in existence. It is inconceivable that any more than a hundred or so have any special investment skill. And the few that do have proven skill are not interested in managing a few hundred thousand dollars for you. They are interested in hundred-million-dollar institutional clients.

A few years ago the Securities and Exchange Commission demanded more disclosure from hedge funds about their trading practices, and that includes conflicts of interest between fund managers and investors. But that was struck down in court, leaving hedge funds largely unregulated. Since hedge funds have assets of over \$1 trillion and leverage that extends well beyond that amount, the sheer size and power of the hedge fund industry warrants a closer look by regulators. I believe there will be regulation in some way.

Hedge Fund Strategies

There is a wide range of hedge fund strategies. The managers may buy, or “go long,” securities to take advantage of rising prices, and may “short” securities, or sell them without owning them, to take advantage of falling prices. Some hedge fund trading strategies are designed to earn a profit